

Faculty/Trainer's Manual: Hyper-Competitive Consumer Simulation

Institution: TAXILA BUSINESS SCHOOL

Simulation Context: Indian Market (Jaipur, Rajasthan)

Curriculum Alignment: Marketing Management, Strategic Management, Consumer Behavior

1. Executive Summary

This simulation places students in the role of a CEO for a new tech startup in Jaipur. It is a **turn-based, single-player resource allocation game** designed to test students' ability to apply marketing theory in a volatile, resource-constrained environment.

Unlike static case studies, this simulation provides immediate feedback. If a student misjudges price elasticity or market positioning, they face immediate sales declines or bankruptcy.

Duration & Format

- **Briefing:** 15 Minutes
- **Gameplay (20 Quarters):** 45 - 60 Minutes (Students play individually)
- **Debriefing:** 30 - 45 Minutes
- **Total Time:** Approx. 2 Hours

2. Learning Outcomes (Pedagogical Framework)

By the end of this session, students should be able to:

1. **Evaluate Market Segmentation (Analysis):** Identify distinct consumer behaviors (e.g., *Savvy Shoppers* vs. *Brand Loyalists*) and select appropriate targets based on company strengths.
2. **Synthesize the Marketing Mix (Creation):** Construct a cohesive strategy where Product Quality, Price, and Promotion (Ad Copy) are aligned.
3. **Analyze Competitive Dynamics (Evaluation):** Interpret competitor moves (InnovateNext's quality leadership vs. ValueFirst's price cutting) and formulate counter-strategies.
4. **Manage Financial Constraints (Application):** Allocate scarce financial resources between long-term growth (R&D) and short-term sales (Marketing) to avoid the "Death Spiral."

3. The "Black Box" Mechanics: How it Works

Understanding the underlying logic will help you answer student questions during gameplay.

A. The Competitors (AI Logic)

Students are not playing in a vacuum. They face two specific AI archetypes:

- **InnovateNext:** Programmed to aggressively invest in R&D. They will dominate the high-end/quality segments (*Tech Enthusiasts*) by Quarter 8-10.
- **ValueFirst:** Programmed to undercut prices. They will continually lower prices to capture the bottom of the pyramid (*Budget Buyers*).
- **Faculty Insight:** The student's best winning strategy is often to find the "middle ground" (e.g., *Savvy Shoppers* or *Aspirational Achievers*) where the AI is less dominant.

B. The "Death Spiral" Algorithm

- **Rule:** Budget = 12% of Cumulative Sales.
- **Consequence:** If a student has a bad quarter (low sales), their budget for the *next* quarter is reduced. This limits their ability to market or do R&D, leading to even lower sales.
- **Teachable Moment:** Emphasize the importance of early cash flow and "survival" before "expansion."

C. The Ad Engine

The simulation parses student text for specific keywords.

- **Positive Reinforcement:** If a student targets "Budget Buyers" and uses words like *cheap*, *affordable*, *discount*, they get a sales boost.
- **The "Truth" Penalty:** If a student uses "Quality" keywords (e.g., *premium*, *best*) but their actual Product Quality score is < 70, sales are penalized by 50%.
- **Faculty Insight:** This teaches ethical marketing and consistency. You cannot promise what you cannot deliver.

D. Segment Price Thresholds (Faculty Cheat Sheet)

If a student's price exceeds these hard limits, the specific segment will generate **Zero Sales**. Use this to troubleshoot students who claim "the game is broken."

Target Segment	Maximum Price Limit (Willingness to Pay)	Key Driver
Young Students	₹54,000	Price (Extreme Sensitivity)
Budget Buyers	₹56,000	Price
Practical Professionals	₹58,000	Reliability/Middle-Ground

Savvy Shoppers	₹60,000	Value (Price + Quality)
Mainstream Followers	₹62,000	Brand Awareness
Aspirational Achievers	₹64,000	Status/Brand
Tech Enthusiasts	No Limit (Infinity)	Quality (Must be > 75)
Brand Loyalists	No Limit (Infinity)	Legacy

4. Facilitation Guide

Phase 1: Pre-Simulation Briefing

1. **Distribute the Player's Manual.**
2. **Highlight the Context:** Emphasize that this is the **Jaipur** market. It is price-sensitive but highly aspirational.
3. **Explain the UI:** Point out the Timer (top right) and the Dashboard.
4. **Technical Check:** Ensure students' audio is on (for timer alerts) and browser zoom is normal (100%).

Phase 2: During Gameplay (Monitoring)

Walk around the room and observe. Look for these common behaviors to discuss later:

- **The Panic Price Drop:** Students seeing *ValueFirst* drop prices and immediately destroying their own margins to compete.
- **The "Spray and Pray":** Students changing their Target Segment every single quarter. (This destroys brand consistency).
- **The Bankruptcy:** Some students *will* go bankrupt (2 quarters of zero sales).
 - *Action:* Tell them to use the "Restart" button but note down *why* they failed for the debrief.

Phase 3: Market Events

Random events trigger throughout the game. Watch for reactions to:

- **Economic Downturn:** Lowers demand for premium segments. Students *must* lower prices or shift marketing to survive.
- **Supply Chain Crisis:** Makes Quality harder to achieve.

5. Debriefing Strategy (The Core Learning)

Use these questions to facilitate the post-game discussion.

Theme 1: Strategy & Segmentation

- "Who won? What was your cumulative sales figure?"
- "Which segment did you target first? Why?"
- "Did anyone try to switch segments mid-game? How difficult was it to pivot?"
- Lesson: It takes time (R&D) to pivot from a "Cheap" product to a "Premium" one. Brand perception lags behind reality.

Theme 2: Resource Allocation

- "How did you decide between spending on Marketing vs. R&D?"
- "Did anyone get caught in the 'Death Spiral' where your budget kept shrinking? How did you try to get out?"
- Lesson: In a crisis, cut R&D (long-term) to fund Marketing/Price cuts (short-term survival).

Theme 3: Competitive Response

- "How did you handle InnovateNext? Did you try to beat them on quality?"
- "How did you handle ValueFirst? Did you try to beat them on price?"
- Lesson: Porter's Generic Strategies—it is very hard to be the Cost Leader *and* the Differentiator simultaneously.

Theme 4: Ethics in Marketing

- "Did anyone get the 'Misleading Ad' penalty message? What happened?"
- Lesson: Marketing communications must align with product reality. Greenwashing or "Quality-washing" backfires.

6. Assessment Rubric

You can grade student performance based on a mix of quantitative results and qualitative reflection.

Criteria	Weight	Excellent (A)	Satisfactory (B)	Needs Improvement (C)
Market Performance	40%	Completed 20 quarters; Top tier sales (> ₹50 Cr).	Completed 20 quarters; Moderate sales.	Went Bankrupt or had low sales.
Strategic Consistency	30%	Ad copy, Price, and R&D were perfectly aligned with the	Mostly aligned, but occasional disconnects (e.g., high price	Random strategy; frequently changed targets without logic.

		chosen Segment.	for budget segment).	
Reflection (Debrief)	30%	Can articulate <i>why</i> specific events occurred and link them to theory (4Ps, STP).	Can describe what happened, but struggles to link to theory.	Minimal participation or blame placed solely on "bad luck."

7. Technical Notes for Faculty

- **Platform:** HTML5/JS (Runs in any modern browser: Chrome, Edge, Safari).
- **Data Persistence:** The game does **not** save to a server. If a student refreshes the page, progress is lost.
- **Certificate:** At the end of the game, students can generate a "Certificate of Completion." Ask them to screenshot or download this as proof of completion.
- **Audio:** The simulation uses Web Audio API for generated sounds (ticks/alarms). No external audio files are required, so it works offline once loaded.